Future Gold

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Weekly Gold Wrap

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I. Gold Key Weekly Takeaways

• **Market Review:** As of the close on US Eastern Time, October 30, gold futures and spot prices corrected sharply in tandem. COMEX front-month gold futures settled at $3884.90/oz, down 3.63% on the day and 3.42% for the week. LBMA London spot gold closed at $3875.19/oz, a daily drop of 3.61% and a weekly decline of 3.38%. The pullback was primarily driven by rising rate expectations and profit-taking among derivative long positions. Nevertheless, fundamental physical support remains intact, with COMEX vault inventory coverage lingering at a historically low 17.35%, pointing to tight delivery fundamentals.

• **Supply-side constraints underpin long-term price support:** Declining ore grades and rising mining costs, coupled with export controls across resource-rich jurisdictions and stricter LBMA ESG traceability rules, limit the supply elasticity of compliant good-delivery gold.

• **Notable divergence on the demand side:** Sustained central bank gold purchases form a stable source of buying. Overseas jewellery players offset lower tonnage sales by capturing fabrication premium. Domestic safe-haven allocation demand is robust, marked by heavy inflows into gold ETFs, while jewellery products shift toward low-weight, high-margin designs.

• **Macro backdrop marked by conflicting forces:** Sticky US inflation and divided Fed views cap gold upside, while geopolitical risks in the Middle East deliver episodic safe-haven bids. Gold is set to trade within a broad range. Cross-border traders should closely monitor physical premiums and cross-market spread opportunities.

II. Global Gold Mine Supply and Regulatory Trends

1) Mine Supply Dynamics and Capacity Constraints

① Mine Supply Dynamics and Capacity Constraints

➢ **- Production Guidance & Cost Trends (Major Miners):**

• Newmont and Barrick noted in their Q3 earnings reports that flagship mature mines including Nevada Gold Mines and Pueblo Viejo have entered late-stage mining, with average head grades falling 8% – 12% and driving up unit processing costs structurally.

• Surging AISC (All-In Sustaining Cost): With crude oil back above USD 100/bbl in H2 2026, key mining consumables (diesel, blasting agents, cyanide and processing reagents) rose 15% month-on-month. Newmont's Q4 earnings call flagged a sharp reduction in high-grade ore feed for Q4. By-product credits from copper and silver are weakened by divergent industrial recovery, failing to offset core gold production costs. AISC is projected to stay elevated at USD 1450 – 1500/oz with limited near-term downside.

➢ **- Delayed Capacity Expansion and Technical Bottlenecks:**

• Project Deferrals: Persistent high-rate headwinds and geopolitical uncertainty have weighed on major miners' capital expenditure appetite for deep orebodies and low-grade tailings recovery projects.

• Supply Chain Delays: Restructuring of the Western manufacturing base has extended lead times for heavy mining equipment (electric shovels, haul trucks, automated processing plants) beyond 18 months. Expansion plans and incremental output are therefore lagging gold price upside.

➢ **- Doré Premium and Refining Charge (TC/RC) Dynamics:**

• Mine-output doré (raw gold) is in tight supply, granting miners strong bargaining power against refiners; the doré premium to London spot gold remains firm.

• Refiners across Switzerland, South Africa, Australia and other hubs compete fiercely for feedstock. Refining charges (TC/RC) have been compressed near breakeven with scant room for further declines, establishing a solid physical cost floor for global physical gold.

② **Resource-Nation Policies and ESG Oversight**

➢ **- Export and Tax Controls (Rising Resource Nationalism):**

• **Bolivia (New Regulations):** New gold export rules mandate that 80% of export proceeds from private and artisanal miners be repatriated to designated domestic regulated accounts within specified timelines, subject to rigorous FX traceability and AML checks. This has triggered temporary disruptions to informal doré supply chains in Latin America.

• **Ghana & Mali (West Africa Localisation Rules):** Ghana bans exports of unrefined doré, requiring domestic ore to be refined at newly built LBMA-accredited local refineries and substantially raising entry barriers for artisanal and small-scale gold mining. Mali and neighbouring states have revised mining codes to increase free-carried government stakes and restrict profit repatriation by foreign operators, stirring investor concerns over long-term supply stability across the West African gold belt.

➢ **- Restructured Logistics and Higher Compliance Costs:**

• The above rules have reshaped traditional doré trade routes and shrunk informal "grey gold" flows historically routed via Middle Eastern and Southeast Asian intermediaries.

• Reduced availability of LBMA-compliant good-delivery feedstock forces refiners to accept higher procurement premiums to maintain run rates.

➢ **- ESG Traceability and Exclusion from Approved Delivery Channels:**

• ESG and supply-chain due diligence requirements for refiners and London / New York gold dealers have tightened further in 2026.

• LBMA and COMEX have strengthened screening for gold sourced from conflict-affected and high-risk areas, child labour operations, mercury-based artisanal mining and material lacking end-to-end digital traceability. Non-compliant gold is barred from global exchange delivery chains and cannot be converted into standard good-delivery bars, exacerbating inelastic supply of accredited physical gold.

III. Central Bank Reserves and Global Jewellery Demand Trends

① **Central Bank Gold Reserves: Broad Diversification Trend, China as a Consistent Major Buyer**

WGC's Q3 central bank survey shows 89% of respondents expect gold holdings to rise over the next 12 months and 45% plan active purchases, both survey highs. 74% of reserve managers anticipate a falling US dollar share in global FX reserves, lifting gold's strategic value. Buyers fall into three groups: steady

accumulators including China, Poland and Uzbekistan; opportunistic incremental buyers across the Middle East and Southeast Asia; and a small number of countries adjusting holdings for liquidity needs. China's official gold reserves stand at 77.47 million troy ounces after 23 consecutive months of purchases, with gold accounting for 8% – 9.5% of FX reserves, making it one of the most persistent sovereign buyers in the current cycle.

The simplistic framework that higher real US yields suppress gold prices has weakened materially. Central banks have purchased roughly 1,000 tonnes of gold annually over the past four years on average, double the average of the prior decade, forming a durable marginal source of demand. Reserve accumulation is driven by geopolitical risk mitigation, settlement diversification and balance-sheet deconcentration rather than short-term rate speculation. 90% of surveyed central banks cite crisis hedging as the primary rationale for holding gold. Gold's unique traits — no issuer, no counterparty risk and cross-border transferability — help emerging markets reduce single-currency exposure. China's buying programme exemplifies this global reserve rebalancing.

② **Global Jewellery Demand: Lower Tonnage, Stable Revenue amid High Gold Prices with Regional Variations**

- **WGC Q3 demand data identifies a shared global pattern:** physical tonnage demand softens while sales values remain resilient. Elevated gold prices deter large-weight ceremonial purchases and push distributors, product lines and business models to adapt along region-specific paths.
- **India (World's Largest Jewellery Market):** High gold prices, import duties and seasonal cycles weigh on tonnage demand; 40% – 60% of transactions are trade-ins. 22K gold remains mainstream, while younger consumers favour lightweight low-K stone-set designs. Smaller jewellers face pressure and market share consolidates among major players. Local premiums are sensitive to festivals and import quotas.
- **Gulf Markets:** Wedding-related demand provides a floor, though bulky traditional bridal gold purchases decline. Young buyers prefer lightweight 18K set jewellery alongside investment bars. Local physical premiums react sharply to geopolitical news.
- **China**: Aligned with global trends but with distinct local features. High prices dampen demand for weight-based gold products. Chow Tai Fook closed a net 240 tier-3/4 mainland stores between July and September 2026 to streamline its franchise network. Franchisees cut raw gold inventory and adopt asset-light models. Brands prioritise premium heritage, 3D and 5G hard gold designs, using fabrication margins to offset lower physical throughput — a contrast to the stone-set jewellery focus seen in India and the Gulf.
- **Mature Western Markets:** Gold jewellery trades largely as luxury goods with limited sensitivity to gold prices, tracking broader luxury consumption cycles.

Structural Shift: Jewellery value pools are shifting away from raw material spreads toward design, craftsmanship and brand premiums. Distributors reduce bare gold inventory and deploy hedging, trade-in programmes and high-margin lightweight SKUs to transfer price risk, with differing flagship products across regions.

IV. China Physical Retail and Gold ETF Trends

- Analysis: WGC's latest Q3 China Gold Report documents accelerated household allocation toward

physical safe-haven assets. Chinese gold ETFs recorded a net inflow of RMB 27 billion (approx. USD 4 billion) in Q3, with total holdings topping 304 tonnes at end-September, a new all-time high. The PBoC added gold reserves in Q3. Hit by high gold prices and prior VAT adjustments, jewellery tonnage sales fell 21% year-on-year, yet revenue held steady at RMB 144 billion, characterised by the shift toward lightweight, high-fabrication-margin heritage and hard gold.

• Trading Takeaway: Mainstream jewellery consumption remains cyclically suppressed by expensive gold, and franchisees continue inventory de-risking. However, safe-haven demand for financial gold and ETFs has surged, marking a structural shift in physical gold's investment function. Year-end seasonal gifting demand deserves continued monitoring.

V. Summary and Next Week Outlook

• **Summary:** Gold futures and spot corrected together this week, with pricing shaped by the tug-of-war between rate expectations and physical supply fundamentals. Near-term headwinds stem from sticky US inflation, resilient growth lifting real US yields and hawkish dissent within the Fed, triggering derivative profit-taking. Physical support remains intact: rising mine AISC, resource-nation export curbs and stricter LBMA ESG standards constrain compliant gold supply while refining charges stay low. Demand continues to diverge: central bank buying is sustained and jewellers pivot to premium fabrication. Domestic safe-haven ETF inflows are strong while jewellery tonnage contracts. COMEX vault coverage stays historically low, signalling tight physical delivery and pronounced spot-futures divergence.

• **Outlook:** Track US inflation, payrolls and Fed official communications, alongside Middle East geopolitics and volatile crude oil. Watch for volatility shifts as the Fed revises its meeting calendar. On the physical side, monitor COMEX vaults, SGE deferred settlement rates, Asian gold premiums and TC/RC refining charges, and track marginal changes in China's year-end retail gifting demand.

Reference:

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